

HR Strategy on a Page: AI Transformation of HR

3 March 2026 - ID G00845952 - 11 min read

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Initiatives: Functional Design; Transform HR through AI

CHROs want to build an HR strategy that drives the AI transformation of HR, but the specific actions to prioritize are not always clear. This resource provides CHROs with considerations for crafting a one-page strategy for AI transformation of the HR function, guiding C-suite conversations and prioritization.

Insights at a Glance

This resource, part of Gartner's HR strategy on a page series, helps CHROs craft a contextualized, one-page strategy for AI transformation of the HR function. CHROs can use it to clearly communicate HR's AI strategy to C-suite partners and HR leaders in a simple visual format, guiding prioritization and informed action.

It identifies a set of human capital strategies that drive the AI transformation of HR, grouped across the following phases: Setting the Foundation, Adapting the Operating Model and Overseeing the Transformation.

Recommendations for CHROs:

- Install an HR innovation command — a team dedicated to both driving AI HR transformation and continuously evolving the HR function over time.
- Assess HR's current state and AI maturity level.
- Reimagine HR's ambition for the AI era and align ambitions with capabilities.
- Create prioritization criteria to identify which area of the HR function to focus on first (HR operations, HRBP roles or COEs) and draw a plan for each one.
- Establish HR AI governance frameworks and continuous change management to support adoption and mitigate risk.

Leverage the report below and its downloadable PowerPoint to develop an HR strategy on a page on AI transformation of HR contextualized for your organization.

Strategic Planning Assumption

By 2027, AI-infused HR functions will outperform peers in productivity by two times.

The Challenge of Creating a Strategy for AI Transformation of HR

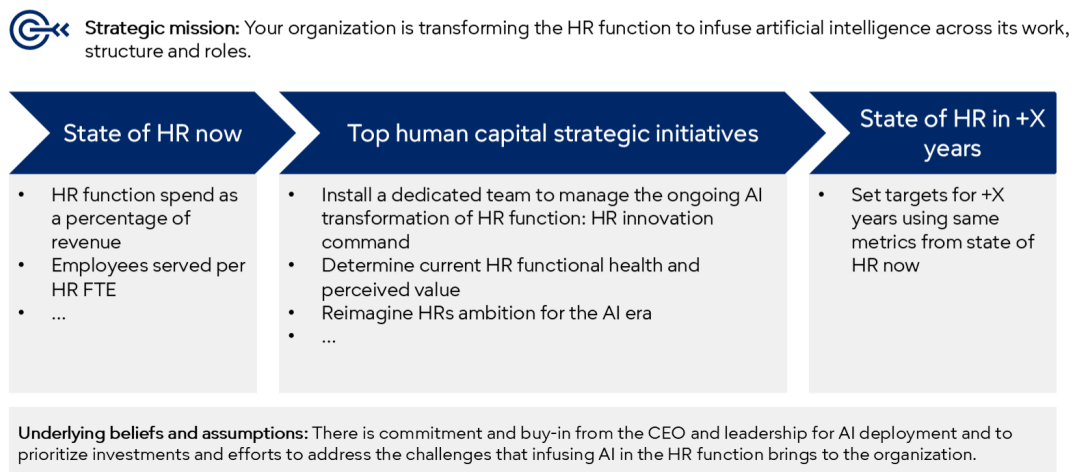
CHROs are under pressure to transform their HR function with AI, streamlining their own functions and processes to deliver business value through more efficient and cost-effective operations. However, only 12% of CHROs say they are fully prepared to incorporate AI into their HR's operating model or already doing so.

To decrease uncertainty, create stakeholder alignment and build confidence in HR's technology-enabled future. CHROs must define and communicate a clear HR strategy.

Gartner offers this edition of the HR strategy on a page series to achieve this goal, providing CHROs with prioritized strategies for a specific situation — AI transformation of the HR function (see Figure 1).

Figure 1: HR Strategy on a Page: AI Transformation of HR

HR Strategy on a Page: AI Transformation of HR



Source: Gartner
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[Download the full PowerPoint for more details](#)

This report contains a set of human capital strategic initiatives that drive the AI transformation of HR. These initiatives are rarely sequential, as organizations often find themselves building them out simultaneously or in different orders. Still, they are grouped by phases — setting the foundation, adapting the operating model and overseeing the transformation — in the report to situate them in the end-to-end transformation journey.

Actions

HR Strategy for AI Transformation of HR

CHROs seeking to transform their HR function with AI should:

- Review this HR strategy on a page resource to understand the full transformation journey.
- Contextualize the actions for your organization's unique priorities using the downloadable PowerPoint template and customizing its contents.
- Mobilize your HR leadership team to take coordinated, cross-functional action.

How to Execute

Scenario: AI Transformation of HR

In a world where AI solutions are poised to augment 100% and perform up to 50% of HR's current tasks, HR's traditional value proposition and operating model face fundamental challenges — see [The Impact of AI on the HR Operating Model](#) for insight on HR's pivotal change. The AI transformation of HR scenario is for organizations that are introducing AI into their HR function, or where AI deployment is at an early stage. In this setting, the organization needs to grow and mature its AI capabilities in the HR function and transform HR's work, roles, workflows and operating model to become a more effective partner to the business.

The prioritization of the following human capital initiatives will depend on your starting point. We have grouped them in a set of phases that most organizations go through, but they are not necessarily sequential — calibrate them to your current point in the transformation journey and overall goals.

Phase 1: Setting the Foundation

Install a Dedicated Team to Manage Ongoing AI Transformation of the Function: HR Innovation Command

Start by establishing an HR innovation command: a dedicated team within HR that will lead the planning, deployment and ongoing improvement of HR's AI transformation. This team requires a variety of profiles, but a set of recommended examples include: Head of HR transformation, Head of HR strategy and AI in HR product leader. Based on the specific task, this group tightly collaborates with HR process and product owners (like talent acquisition), IT (HRIT and AI enterprise experts), governance and legal and compliance advisors.

Consider allocating a set of full-time dedicated team members to this team, supplemented by part-time team members. The HR innovation command is a stable component of the HR function and has the ongoing mission to keep aligning HR's current state, ambitions and delivery model, continuously readjusting focus and prioritizing initiatives. For more details, see [Steer HR's AI-Infused Operating Model Transformation With an HR Innovation Command](#).

Determine Current Functional Health and Perceived Value

Start by creating a comprehensive view of your HR function's current state in terms of cost and value delivered to the organization. Draft a baseline "HR Functional From" state that will help establish realistic transformation objectives and metrics to track progress against. This picture can have multiple qualitative and quantitative layers, and Gartner has the following key resources to help you create a starting point:

- **HR spending and staffing:** [HR Budget & Efficiency Benchmark](#)
- **HR functional maturity:** [HR Score](#)
- **Perceived value:** [Toolkit: Assessments to Measure HR's Value to the Business](#)

It's not necessary to run all assessments, so focus on the areas that are unclear as a starting point with the main objective of determining a condensed shortlist of one to three critical issues CHROs want to solve.

Reimagine HR's Ambition for the AI Era

CHROs can apply a range of approaches to rethink HR's ambition for AI. Leverage resources such as [Choose the Best HR Operating Model for an AI-Enabled Enterprise](#) to explore a range of principles for AI-infused HR operating models and identify the right approach for your context.

CHROs will also need to understand current AI capabilities to discern what is possible given rapid technological advancements. Revisiting these topics periodically to keep your ambitions and understanding competitive is an ongoing task. Use tools like Gartner's [Hype Cycle for AI in Human Resources, 2025](#) and relevant Market Guides to continuously scan the HR AI and technology landscape to keep ambitions and technology reality grounded.

Create Criteria to Decide Which HR Area to Focus AI Efforts and Impact First

To provide a clear prioritization framework and focus AI deployment efforts, CHROs need to create evaluation criteria based on impact and feasibility. As a starting point, consider these three dimensions: AI process transformation, AI decision intelligence and AI use case availability (see [Understand the Impact of AI Across HR Processes to Accelerate HR Transformation](#)).

CHROs should validate the outcome of this prioritization exercise with the results of the two prior steps on assessing HR's functional health and defining its AI ambition. This validation will avoid common mistakes such as failing to address known functional issues (cost, effectiveness, etc.), falling for the temptation of a quick win that is not providing a solution to a substantial issue, or deploying AI when a simpler solution may be enough. Additionally, Gartner's AI Maturity model for HR (coming soon) helps CHROs and their teams understand their level of AI functional maturity with current capabilities, and structure a prioritized approach to realizing their AI ambition.

By using these assessment criteria and building off a structured maturity assessment, CHROs can define how to manage their AI portfolio and which HR functional space to focus on first (whether HR Operations, HRBPs or COEs), creating a customized plan for each one.

Phase 2: Adapting the Operating Model

Elevate HR Operations With AI

Gartner defines HR operations as a functional unit that combines shared services — including administrative HR tasks and payroll — with people relations, HR technology and people analytics. Routine tasks owned by shared services can be automated through AI solutions. CHROs must account for AI's impact on HR operations across the following dimensions:

- **Work:** Evaluate the scope of HR operations and consider leveraging AI agents alongside agile delivery teams to provide streamlined, scalable and employee-centric services. For steps on how to get started, see [Reimagine HR Self-Service With AI Technologies](#).
- **Structure:** CHROs can move shared services out of HR operations toward a single, global business solution in partnership with other functions such as IT or finance, or even outsource it to a managed service provider.
- **Talent:** Redeploy HR operations talent to leverage their institutional knowledge and apply their transferable skills to key terrains for AI-driven transformation, such as HR knowledge base maintenance.

Redesign the HRBP Role With AI

As AI absorbs or augments much of the transactional and analytical work traditionally handled by HRBPs — such as drafting job descriptions and summarizing engagement data — CHROs must redeploy skilled talent with strong stakeholder relationships to strategic, high-impact work.

- **Work:** Reposition HRBPs as strategic talent leaders (STLs) who deliver advice across the business, expanding their remit as AI transformation consultants (see [Redesign the HRBP Role as AI Transformation Consultants](#)).
- **Structure:** In alignment with technical maturity, expand the span of control for HRBPs as their capacity is freed. In the future, explore flexible deployment through an STL pod.
- **Talent:** Upskill the HRBP team to enhance business acumen and foster AI literacy, preparing it for role evolution.

Rethink COEs Through AI

AI enables COEs to create hyperpersonalized HR offerings, such as tailored onboarding programs or learning paths. Instead of managing processes in functional silos, COEs can evolve into HR product designers who create value across the employee life cycle.

- **Work:** Shift from process management to product management. Rather than anchoring on legacy HR processes, design AI-enabled HR products that solve real problems for employees and the business.

- **Structure:** Organize around horizontal value streams. Break down traditional HR silos, and form cross-functional (or cross-HR product) teams aligned around value streams (e.g., attracting talent, developing leaders) to enable faster delivery and shared accountability.
- **Talent:** Prepare your team to create and manage AI-enabled HR products by introducing new roles (e.g., HR product owners, employee experience designers), and upskilling existing talent in new competencies such as design thinking.

For deeper support in specific COEs, Gartner has developed AI use-case insights for [AI Use-Case Assessment for Talent Acquisition \(Recruiting\)](#), [AI Use-Case Assessment for Talent Management](#), [AI Use-Case Assessment for Learning and Development](#) and [AI in Total Rewards: Key Risks & Emerging Use Cases](#).

Phase 3: Overseeing the Transformation

Establish HR AI Governance to Align Decision Rights and Accountabilities

AI governance is the process of creating policies, assigning decision rights and ensuring organizational accountability for risks and investment decisions in the application and use of AI techniques. Create an HR AI governance team by appointing a few representatives across the HR function. This team will also act as delegates to the wider enterprise AI governance team to ensure effective adaptation of key principles within HR processes. Within HR, this team will establish and refine decision-making processes and authorities, minimizing conflict and ensuring transparency. A core focus will also be identifying risks and developing or overseeing the ethical utilization of AI within HR or when using talent data.

Overinvest in Change Management as an Ongoing Transformation Vehicle

AI is becoming a vehicle for change, not the destination itself (see [AI Has Changed Change: Top Trends Shaping Change Management in 2026](#)). That's why change must not be managed as a one-off, but rather CHROs need to commit to continuous communication, guided adoption and targeted upskilling of HR talent. Consider the following directives:

- **Communicating to clients and end users:** Reset expectations about the first point of contact, while retaining HR's human touch.
- **Communicating to HR talent:** Articulate the vision for the future of HR and pathways to impact in the new model.

- **Upskilling HR talent:** Strike a balance between adding new skills, adapting evolving skills and preserving core human skills from atrophy (see [Essential HR Skills for Success in the AI Era](#)).

Success Measures

Identify success measures to compare the state of HR now against the state of HR in a predetermined future date. Consider metrics such as:

- Number of automated processes
- Employees served per HR FTE
- Client value rating of HR function (overall, operational and strategic)

For the full list of success measures associated with this strategy on a page resource, see the full PowerPoint attachment.

Evidence

¹ **2025 Gartner Q4 AI and HR Function CHRO Survey.** This survey was conducted to gain insights into CHRO perspectives on the current state of AI within their organizations and HR functions, as well as to collect up-to-date information on HR functional transformation. The research was conducted online from 17 November through 16 December, 2025 and contained responses from 110 heads of HR with representation from various geographies, industries, and functions. Disclaimer: The results of this survey do not represent global findings or the market as a whole, but reflect the sentiments of the respondents and companies surveyed.

Recommended by the Authors

Some documents may not be available as part of your current Gartner subscription.

[The Impact of AI on the HR Operating Model](#)

[Unlock HR Transformation Success Through Intentional HR Collaboration](#)

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